

Temco after mistaking its ticker symbol, TMCO, for that of Ticketmaster Online (TMCS), an Internet darling whose stock began trading publicly for the first time that day.⁸

Oscar Wilde joked that a cynic “knows the price of everything, and the value of nothing.” Under that definition, the stock market is always cynical, but by the late 1990s it would have shocked Oscar himself. A single half-baked opinion on *price* could double a company’s stock even as its *value* went entirely unexamined. In late 1998, Henry Blodget, an analyst at CIBC Oppenheimer, warned that “as with all Internet stocks, a valuation is clearly more art than science.” Then, citing only the possibility of future growth, he jacked up his “price target” on Amazon.com from \$150 to \$400 in one fell swoop. Amazon.com shot up 19% that day and—despite Blodget’s protest that his price target was a one-year forecast—soared past \$400 in just three weeks. A year later, PaineWebber analyst Walter Piecyk predicted that Qualcomm stock would hit \$1,000 a share over the next 12 months. The stock—already up 1,842% that year—soared another 31% that day, hitting \$659 a share.⁹

From Formula to Fiasco

But trading as if your underpants are on fire is not the only form of speculation. Throughout the past decade or so, one speculative formula after another was promoted, popularized, and then thrown aside. All of them shared a few traits—This is quick! This is easy! And it won’t hurt a bit!—and all of them violated at least one of Graham’s distinctions between investing and speculating. Here are a few of the trendy formulas that fell flat:

- **Cash in on the calendar.** The “January effect”—the tendency of small stocks to produce big gains around the turn of the year—was widely promoted in scholarly articles and popular books published in the 1980s. These studies showed that if you piled into small stocks in the second half of December and held them into January, you would beat the market by five to 10 percentage points. That amazed many experts. After all, if it were this easy, surely everyone would hear about it, lots